

While looking at the three peaks, do not ignore the lows. The formation may be a right-angled descending broadening top or even a descending broadening wedge if the three peaks are moving down slightly in price.

In the case of a right-angled broadening top, you can probably make money on the triple top pattern even before the broadening top breaks out. At least with a broadening formation, you can anticipate when it will be time to close out your position (do so when price approaches the lower, down-sloping, trendline).

Price trend. Price should trend upward into a triple top so that the pattern acts as a reversal of the upward trend. In some cases, price drops into a triple top and the pattern acts as a continuation pattern. Those do occur, but are rare. In the future, I may study them separately, but this edition has them all lumped together.

Same price. Make sure the three well-separated peaks are not part of the same congestion pattern. Each top should be a part of its own minor high, a distinct peak that towers above the surrounding price landscape. The price difference between the three peaks is usually minor. A large price variation should exclude the pattern from consideration, but be flexible.

Volume. The overall volume trend is usually downward and lackluster, but varies from pattern to pattern. Volume on the three peaks, especially the first one, is higher than in the valleys. Do not discard a triple top because volume doesn't conform to the standard pattern.

Breakout direction, confirmation. The three-bump pattern confirms as a triple top when price closes below the lowest low in the pattern. Without confirmation, you do not have a triple top.

Alternatively, an up-sloping trendline drawn across the bottoms of the two valleys can also serve as confirmation when price closes below it. Often, this approach will allow you to enter a trade sooner and at a better price.

[Figure 68.3](#) shows an example of a triple top on the weekly scale. Even though the average triple top sports a 14% (bull market) to 22% (bear market) decline after the breakout, price occasionally falls much farther.